

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

**SEAFAIR USA LLC
COMPLAINANT
V.
STERLING CONTAINER LINE LIMITED AND ATLANTIC FORWARDING LTD.
RESPONDENTS**

**SEAFAIR USA LLC’S REPLY BRIEF AND RESPONSES TO RESPONDENTS’
PROPOSED FINDINGS OF FACT**

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**I. SEAFAIR’S RESPONSES TO RESPONDENTS’ RESPONSES TO SEAFAIR’S
PROPOSED FINDINGS OF FACT**

6. SF PFF 6.

Rebuttal: The document speaks for itself.

7. SF PFF 7.

Rebuttal: The business relationship between Respondents and SeaFair prior to May 2021 is irrelevant to this case.

10. SF PFF 10.

Rebuttal: Even though SeaFair was to help Respondents collect charges related to steamship lines, associated terminals, and other logistics companies from its customers, SeaFair did this as an agent of Respondents. SeaFair was not liable for the charges if they were unpaid by Respondents’ customers. As to Respondents’ citation to Atlantic Forwarding Group’s General Rules and Conditions, they are wholly inapplicable. For example, said terms state “rates quoted are defined from FOB Asian not to CFR arrival vessel destination port/CY, all costs after arrival are for account of the consignee.” (See Respondents’ Appendix 1 at RX-APP-01-001). SeaFair did not obtain quotes from Atlantic. Additionally, said terms state “by using our services you conclude an agreement with Atlantic/Sterling Container Line which automatically includes the acceptance of above rules and conditions as integrate part of such an agreement.” (See Respondents’ Appendix 1 at RX-APP-01-001). SeaFair did not use Atlantic or Sterling’s services. To the contrary, Atlantic and Sterling used SeaFair’s services.

12. SF PFF 12.

Rebuttal: All document turnover fees were based on shipments in Respondents’ ACOP system. The document turnover fees sought by SeaFair in the First Claim were based on shipments that were not terminated. Respondents also fail to identify any shipments that were covered by these invoices were in fact terminated.

13. SF PFF 13.

Rebuttal: The invoices for \$321,533.52 were destination charges by MSC and under MSC's tariff and terms and conditions, Sterling is ultimately responsible. When Sterling's customers refused to pay, SeaFair had to direct the invoices to Respondents.

14. SF PFF 14.

Rebuttal: SeaFair terms the MSC charges as "new charges" because they were previously invoiced to Respondents' customers, not to Respondents.

15. SF PFF 15.

Rebuttal: It took time for SeaFair to verify Respondents' payments; therefore, SeaFair's invoicing cannot be characterized as inconsistent or inaccurate. The fact the Respondents paid most of the demand in the First Claim evidences that SeaFair's invoicing is not inconsistent or inaccurate, as now claimed by Respondents.

17. SF PFF 17.

Rebuttal: The invoices were issued by MSC. Respondents could have verified charges as Sterling is the shipper on MSC's bills of lading.

18. SF PFF 18.

Rebuttal: SeaFair does not owe this amount to MSC. SeaFair was invoiced this amount simply due to its role as Sterling's agent. Respondents are liable for these charges.

21. SF PFF 21.

Rebuttal: It is disingenuous for Respondents to say "upon information and belief, the Sterling HBLs listed in Appendix 13 issued by Sterling correspond to the MSC MBLs listed in Appendix 11." These bills of lading were issued by Sterling. Sterling can verify it and state affirmatively whether these bills of lading were issued by Sterling.

22. SF PFF 22.

Rebuttal: Regardless of the reasons, Respondents did refuse to verify the authenticity of the master bills of lading by MBL numbers.

23. SF PFF 23.

Rebuttal: Respondents refused to produce all the requested MBLs. Only upon SeaFair's motion to compel did they produce the MBLs attached as Appendix 1 to this Reply. They all show that SeaFair was identified as agent of Sterling in the consignee box. SeaFair believes that most of the MSC MBLs would indicate "SeaFair USA LLC as Agent of Sterling Container Line Limited" in the consignee box.

24. SF PFF 24.

Rebuttal: Regardless of the reasons, Respondents did refuse to verify the authenticity of the master bills of lading by HBL numbers.

26 SF PFF 26.

Rebuttal: It is unclear who Atlantic Ocean Line is. This entity is not on the FMC's OTI list. Atlantic Ocean Line might have provided NVOCC services without a valid license or registration. Regardless, out of these thousands of HBLs, Respondents could only identify two HBLs that were issued by Atlantic Ocean Line, an entity that is presumably related to Respondents.

43. SF PFF 43.

Rebuttal: The responsibility for paying these destination charges is entirely Respondents'. SeaFair received these invoices because it was acting as an agent for Respondents and SeaFair attempted to collect these charges on behalf of Respondents. As stated above, the Atlantic Forwarding Group General Rules and Conditions are inapplicable. Even if they were, "all costs after arrival vessel are for account of the consignee" does not deflect the requirement under the Shipping Act obligating Sterling to bill its shipper/consignee in accordance with its tariff. In fact, now Respondents admit that their customers are liable for the charges, whereas during the discovery process, Respondents denied that their customers are liable to Sterling for the charges. (See Respondent Sterling Container Line Limited's Response To Complainant's Requests For Admission at Request For Admission No. 3, SFOB-APP-15-0003-4 ("Sterling denies that under the house bills of lading listed in Exhibit 1 and the house bill of lading terms and conditions, the shippers and consignees are liable to Sterling for destination charges, and demands strict proof

thereof.”) and Respondent Atlantic Forwarding Ltd.’s Response To Complainant’s Requests For Admission at Request For Admission No. 3, SFOB-APP-15-0012-13 (“Atlantic denies that under the house bills of lading listed in Exhibit 1 and the house bill of lading terms and conditions, the shippers and consignees are liable to Sterling for destination charges, and demands strict proof thereof.”)

44 SF PFF 44.

Rebuttal: SeaFair’s Proposed Finding of Fact No. 10 states “For destination services, pursuant to the agreement between Respondents and SeaFair, SeaFair collected and/or attempted to collect payment for the charges related to steamship lines, associated terminals, and other logistics companies on behalf of Sterling and its shipping agent, Atlantic, plus the bank fees SeaFair incurred in remitting the collected charges to the steamship lines, terminals and/or logistics companies (which are termed “Carrier Processing Charge/Fee” or “CPC”).” There is no admission made by SeaFair that SeaFair is obligated to guarantee the collection. SeaFair’s collection emails that were produced in the discovery are attached as Appendix 2 to this Reply. SeaFair made reasonable efforts to collect the charges.

45 SF PFF 45.

Rebuttal: Respondents state in their responses to SeaFair’s Request for Admissions “Sterling [or Atlantic] denies that under the house bills of lading listed in Exhibit 1 and the house bill of lading terms and conditions, the shippers and consignees are liable to Sterling for destination charges.” See Respondents’ Responses to Request for Admission, No 3., Appendix 15 at SFOB-APP-15-0003-4 and SFOB-APP-15-0012-13.

46 SF PFF46.

Rebuttal: First, SeaFair’s Proposed Finding of Fact No. 10 states “For destination services, pursuant to the agreement between Respondents and SeaFair, SeaFair collected and/or attempted to collect payment for the charges related to steamship lines, associated terminals, and other logistics companies on behalf of Sterling and its shipping agent, Atlantic, plus the bank fees SeaFair incurred in remitting the collected charges to the steamship lines, terminals and/or logistics companies (which are termed “Carrier Processing Charge/Fee” or “CPC”).” There is no

admission made by SeaFair that SeaFair is obligated to guarantee the collection. SeaFair's collection emails that were produced in the discovery are attached as Appendix 2 to this Reply. SeaFair made reasonable efforts to collect the charges. Second, Respondents refused to produce all the requested MBLs and only upon SeaFair's motion to compel, produced the MBLs attached as Appendix 1 to this Reply. They all show that SeaFair was identified as agent of Sterling in the consignee box. SeaFair believe that most of the MSC MBLs would identify the consignee as "SeaFair USA LLC as Agent of Sterling Container Line Limited." Third, Respondents's statement quoted in SeaFair's Proposed Finding of Fact No. 46 reads as follows:

...the billing and collection of any local charges contracted and owed to SeaFair are the responsibility of SeaFair. Under Respondents' terms and conditions for its bills of lading, every Person defined as a "Merchant" "shall be jointly and severally liable to the Carrier for the payment of all Freight and charges and for the performance of the obligations of each of them hereunder. Any Person engaged by the Merchant to perform forwarding services with respect to the Goods shall be considered to be exclusively the Merchant's agent for all purposes, and any payment of Freight to such Person shall not be considered payment to the Carrier in any event whatsoever. Failure of such third parties to pay any part of the Freight to the Carrier shall be considered a default by the Merchant in the payment of Freight."

This statement clearly refers to Sterling's bill of lading terms and conditions and states that SeaFair is liable for the destination charges as a merchant under Sterling's bill of lading terms and conditions. Respondents' spinning of MSC's terms and conditions is nonsensical and disingenuous.

II. SEAFAIR'S RESPONSES TO RESPONDENTS' PROPOSED FINDINGS OF FACT

1. R PFF 1. SeaFair USA LLC ("SeaFair") is a Florida limited liability company with its principal place of business at 3740 West 104th Street, Suite 16, Hialeah Gardens, FL 33018.

Response: Admit.

2. R PFF 2. Sterling is a company organized under the laws of Hong Kong with its principal place of business at Flat/Rm 722, 7/F, Metroplaza, Tower 2, 223 Hing Fong Road, Kwai Fong, N.T., Hong Kong.

Response: Admit.

3. R PFF 3. Sterling is a foreign Non-Vessel-Operating Common Carrier (“NVOCC”) registered with the Federal Maritime Commission (“FMC”) under no. 016481. The bond is held by United States Fire Insurance Company (“USFIC”).

Response: Admit.

4. R PFF 4. Atlantic is a company organized under the laws of Switzerland with its principal place of business at Grosspeteranlage 29, 4052 Basel, Switzerland. Atlantic is an ocean transportation intermediary; it is not registered with FMC.

Response: Admit.

5. R PFF 5. Respondents’ business relationship with SeaFair began in at least June 2018, upon SeaFair’s Managing Director signing Respondents’ terms and conditions (“Respondents’ Terms and Conditions”). (See Respondents’ Appendix 1 at RX-APP-01-001).

Response: Admit. However, the business relationship between Respondents and SeaFair prior to May 2021 is irrelevant to this case. Atlantic Forwarding Group’s General Rules and Conditions are wholly inapplicable to this case. For example, said terms state “rates quoted are defined from FOB Asian not to CFR arrival vessel destination port/CY, all costs after arrival are for account of the consignee.” (See Respondents’ Appendix 1 at RX-APP-01-001). SeaFair did not obtain quotes from Atlantic. For another example, said terms state “by using our services you conclude an agreement with Atlantic/Sterling Container Line which automatically includes the acceptance of above rules and conditions as integrate (*sic*) part of such an agreement.” (See Respondents’ Appendix 1 at RX-APP-01-001). SeaFair did not use Atlantic or Sterling’s services. To the contrary, Atlantic and Sterling used SeaFair’s services.

6. R PFF 6. In or around May 2021, Respondents engaged SeaFair to act as their destination agent, including to handle document turnover and destination services, in the United States for shipments carried under Sterling’s house bills of lading (“HBLs”) issued by various branch offices of Atlantic who were acting as agents of Sterling. Part of SeaFair’s obligation and responsibility as destination agent was to independently coordinate services at destination and collect certain destination charges from the consignees and their forwarding agents associated with the shipments issued under Sterling HBLs. (SeaFair Proposed Finding of Fact (“SF-PFF”) 10; see also Complainant’s Appendix 19).

Response: Admit the first sentence. As an agent of Sterling, SeaFair used good faith efforts to coordinate services at destination and collect certain destination charges from the consignees and their forwarding agents associated with the shipments issued under Sterling HBLs. However, SeaFair cannot guarantee the payments of the destination charges. Under the agency law, FMC regulations, MSC’s terms and conditions, and SeaFair’s terms and conditions Respondents are liable for these charges.

7. R PFF 7. In 2021, SeaFair acted as the destination agent for Respondents under certain HBLs where Sterling was the Carrier. (See generally Complainant’s Appendix 13); and the corresponding Master Bills of Lading/Sea Waybills were issued by non-party Mediterranean Shipping Company S.A. (“MSC”). (See, e.g., Complainant’s Appendix 12).

Response: Admit.

8. R PFF 8. Numerous 2021 MSC Master Bills of Lading/Sea Waybills identified SeaFair as the Consignee and Notify Party where the SeaFair point of contact was listed as Michael Andres (former SeaFair Miami Branch Manager). (See, e.g., Complainant’s Appendix 12 at SFOB-APP-12-0040 (June 22, 2021); SFOB-APP-12-0059 (June 20, 2021); SFOB-APP-12-0078 (June 20, 2021); SFOB-APP-12-0097 (June 26, 2021); SFOB-APP-12-0116 (June 26, 2021); SFOB-APP-12-0135 (July 14, 2021); SFOB-APP-12-0154 (July 14, 2021); SFOB-APP-12-0173 (July 14, 2021); SFOB-APP-12-0192 (July 19, 2021); SFOB-APP-12-0211 (July 19, 2021); SFOB-APP-12-0230 (July 19, 2021); SFOB-APP-12-0249 (July 19, 2021); SFOB-APP-12-0268 (July 19, 2021); SFOB-APP-12-0287 (July 27, 2021);

SFOB-APP-12-0306 (July 27, 2021); SFOB-APP-12-0325 (July 27, 2021); SFOB-APP-12-0344 (August 3, 2021); and SFOB-APP-12-0363 (August 3, 2021)).

Response: Respondents refused to produce all the requested MBLs and only upon SeaFair’s motion to compel, they produced MBLs attached as Appendix 1 to this Reply. They all show that SeaFair was identified as agent of Sterling in the consignee box. SeaFair believes that most of the MSC MBLs would identify the consignee as “SeaFair USA LLC as Agent of Sterling Container Line Limited.”

9. R PFF 9. Under MSC’s Sea Waybill terms and conditions, a “Merchant” is defined as follows: “Merchant includes the Shipper, Consignee, holder of this Sea Waybill, the receiver of the Goods and any Person owning, entitled to or claiming the possession of the Goods or of this Sea Waybill or anyone acting on behalf of this Person.” (See Complainant’s Appendix 16 at SFOB-APP-16-0004; SF-PFF 29-30).

Response: Admit. Therefore, Sterling is a merchant on MSC’s bills of lading.

10. R PFF 10. Beginning in July 2021, Respondents began to express dissatisfaction with SeaFair’s services. (See Complainant’s Appendix 22, SFOB-APP-22-0002-0003). For example, on July 14, 2021, a message from a representative for an affiliate of Atlantic was sent to SeaFair’s Michael Andres, Branch Manager, regarding SeaFair’s services - which included the following statements critical of SeaFair: (i) “Shipper and consignee absolutely do not want to pay the demurrage costs due to Seafair’s failure to pay MSC on time”; (ii) “we’ve been getting a lot of complaints lately”; (iii) “Customer calls are not answered. Buyers are having a lot of trouble reaching you.”; (iv) “Container releases not done in a timely manner.”; and (v) “Our customers who have problems with their shipments are not adequately assisted.”). (See Complainant’s Appendix 22, SFOB-APP-22-0002-0003).

Response: The email speaks for itself. SeaFair states that it duly performed its services in accordance with the agreement between SeaFair and Respondents, industry standard and circumstances at the time of shipment (i.e., port congestion, chassis shortage, trucker shortage, etc. due to the COVID-19 pandemic). Also, R PFF 10 is irrelevant to Respondents’ liability to destination charges.

11. R PFF 11. In response to this July 14, 2021 message, SeaFair’s Michael Andres replied in two messages to affiliate personnel of Respondents on July 27, 2021 in relevant part as follows: (i) “I understand, below is a problem we’ve [SeaFair has] been experiencing for a very long time in Miami. Unfortunately management in Germany has been no help. We’ve been asking for a long time for additional hires and assistance from our NY office and nothing has been done. [SeaFair’s] Management only reacts when things are falling apart...unfortunately we don’t get to pick who our managers are. Now that things have gotten increasing busier it’s a disaster every time someone goes on vacation, especially Samuel who is my right hand and works day & night + weekends. My staff and I do the best we can with the very limited resources we have but in terms of changes for improvement my hands are tied until management decides to do something. We had a meeting with management last Friday but even then I felt skepticism about our situation from our director so I can’t guarantee the situation will improve completely”; and (ii) “I’m able to afford one person on my team to send the MSC A/N to the consignee but they are having trouble looking for the consignee info in A-COP so the process is delayed further.” (See Complainant’s Appendix 22, SFOB-APP-22-0001-0002).

Response: R PFF 11 is irrelevant to Respondents’ liability to destination charges. Michael Andres was sued for libel/defamation in *SeaFair USA, LLC v. Michael Andres, Helen Madrid, Samuel Salva, Michael Andres CHB, Inc.*, Case. 1:21-cv-23406 (September 22, 2021). See Respondents’ Opposition Brief Appendix 2 at RX-APP-02-023. The statement made by Michael Andres was untrue and derogatory. Moreover, his statement has no bearing on this case.

12. R PFF 12. Upon information and belief, SeaFair’s Michael Andres was a Branch Manager for SeaFair’s Miami office who was employed by SeaFair between March 2016 and August 2021. Michael Andres and two other SeaFair employee Import Coordinators (Helen Madrid and Samuel Salva) resigned from SeaFair on July 30, 2021, and Mr. Andres was formally terminated by SeaFair on August 12, 2021, (Respondents’ Appendix 2 at RX-APP-02-005 - 007), and on September 22, 2021, SeaFair filed a lawsuit against its former employees Mr. Andres, Ms. Madrid, and Mr. Salva in United States District Court for the Southern District of Florida alleging a variety of federal and state trade secret violations (*SeaFair USA, LLC v. Michael Andres, Helen Madrid, Samuel Salva, Michael Andres CHB, Inc.*, Case. 1:21-cv-23406 (September 22, 2021)). (Respondents’ Appendix 2).

Response: R PFF 12 is irrelevant to Respondents' liability to destination charges. The complaint filed by SeaFair speaks for itself.

13. R PFF 13. This period of internal difficulties and disarray at SeaFair, including as described by SeaFair's Michael Andres, corresponded with the MSC Master Bills of Lading/Sea Waybills where SeaFair was listed as Consignee and Notify Party (Attn: Michael Andres), as identified by SeaFair in Complainant's Appendix 12. (See Respondents' Proposed Finding of Fact 8; Complainant's Appendix 12 at SFOB-APP-12-0040 (June 22, 2021); SFOB-APP-12-0059 (June 20, 2021); SFOB-APP-12-0078 (June 20, 2021); SFOB-APP-12-0097 (June 26, 2021); SFOB-APP-12-0116 (June 26, 2021); SFOB-APP-12-0135 (July 14, 2021); SFOB-APP-12-0154 (July 14, 2021); SFOB-APP-12-0173 (July 14, 2021); SFOB-APP-12-0192 (July 19, 2021); SFOB-APP-12-0211 (July 19, 2021); SFOB-APP-12-0230 (July 19, 2021); SFOB-APP-12-0249 (July 19, 2021); SFOB-APP-12-0268 (July 19, 2021); SFOB-APP-12-0287 (July 27, 2021); SFOB-APP-12-0306 (July 27, 2021); SFOB-APP-12-0325 (July 27, 2021); SFOB-APP-12-0344 (August 3, 2021); and SFOB-APP-12-0363 (August 3, 2021)).

Response: Respondents refused to produce all the requested MBLs and only upon SeaFair's motion to compel, they produced MBLs attached as Appendix 1 to this Reply. They all show that SeaFair was identified as agent of Sterling in the consignee box. SeaFair believes that most of the MSC MBLs would identify the consignee as "SeaFair USA LLC as Agent of Sterling Container Line Limited."

14. R PFF 14. Part of SeaFair's role as destination agent was to collect certain charges at destination from third-party entities on the HBLs where Sterling was a carrier. (SF-PFF 10; see generally Complainant's Appendix 19).

Response: As Respondents' destination agent, SeaFair collected or attempted to collect destination charges from Respondents' customers. However, SeaFair was not liable for these charges if they were unpaid by Respondents' customers. It is Sterling's responsibility to collect under its tariffs and bill of lading terms and conditions.

15. R PFF 15. Under Respondents' terms and conditions, all costs after arrival of the vessel on the shipments handled by SeaFair "are for account of the consignee"; and the terms and

conditions agreed to by SeaFair state as follows: “by using our services you conclude an agreement with Atlantic/Sterling Container Line which automatically includes the acceptance of above rules and conditions...” (Respondents’ Appendix 1 at RX-APP-01-001).

Response: Atlantic Forwarding Group’s General Rules and Conditions are wholly inapplicable to this case. For example, said terms state “rates quoted are defined from FOB Asian not to CFR arrival vessel destination port/CY, all costs after arrival are for account of the consignee.” (See Respondents’ Appendix 1 at RX-APP-01-001). SeaFair did not obtain quotes from Atlantic. For another example, said terms state “by using our services you conclude an agreement with Atlantic/Sterling Container Line which automatically includes the acceptance of above rules and conditions as integrate part of such an agreement.” (See Respondents’ Appendix 1 at RX-APP-01-001). SeaFair did not use Atlantic or Sterling’s services. To the contrary, Atlantic and Sterling used SeaFair’s services.

To the contrary, and critically, Respondents used SeaFair’s services to provide destination coordination and document turnover. Therefore, SeaFair’s Terms and Conditions of Service (SeaFair’s Opening Brief Appendix 21 at SFOB-APP-21-0001) shall govern the relationship between Respondents and SeaFair.

In the relevant part, SeaFair’s Terms and Conditions state: “2. Company as Agent. The Company acts as the “agent” of the Customer for the purpose of performing duties in connection with the entry and release of goods, post entry services, the securing of export licenses, the filing of export documentation on behalf of the Customer and other dealings with Government Agencies: as to all other services. Company acts as an independent contractor.” Id. This is in line with SeaFair’s role as destination agent which Respondents also admit.

SeaFair’s Terms and Conditions state “11. Indemnification/Hold Harmless. The Customer agrees to indemnify, defend, and hold the Company harmless from any claims and/or liability, fines, penalties and/or attorneys’ fees arising from the importation or exportation of customers merchandise and/or any conduct of the Customer, including but not limited to the inaccuracy of entry, export or security data supplied by Customer or its agent or representative, which violates any Federal, State and/or other laws, and further agrees to indemnify and hold the Company

harmless against any and all liability, loss, damages, costs, claims, penalties, fines and/or expenses, including but not limited to reasonable attorney's fees, which the Company may hereafter incur, suffer or be required to pay by reason of such claims; in the event that any claim, suit or proceeding is brought against the Company, it shall give notice in writing to the Customer by mail at its address on file with the Company." Id. Under SeaFair's terms and conditions, Respondents are liable to hold SeaFair harmless from MSC's invoices and/or claims as they arose from the importation of Respondents' merchandise and/or conduct of Respondents.

SeaFair's Terms and Conditions state "12. C.O.D. Cash Collect Shipments. Company shall use reasonable care regarding written instructions related to "Cash/Collect" on "Deliver (COD.)" shipments, bank drafts, cashier's and/or certified checks, letter(s) of credit and other similar payment documents and/or instructions regarding collection of monies but shall have not liability if the bank or consignee refuses to pay for the shipment." Id. It is understood and agreed that SeaFair shall not have liability if the consignee refuses to pay.

16. R PFF 16. Neither Sterling nor Atlantic were the "Consignee" identified on any Sterling HBLs identified by SeaFair in Complainant's Appendix 13. (See Complainant's Appendix 13).

Response: Admit. Sterling and Atlantic certainly would not identify themselves as consignee on their own bills of lading. The consignees on their bills of lading were their customers, therefore, liable for the destination charges.

17. R PFF 17. SeaFair's inconsistent billing practices led to confusion by consignee and forwarding agents to whom SeaFair issued bills. For example, in correspondence regarding certain SeaFair destination charge invoices issued to Foreman Logistics Inc. in January and February 2022, Foreman Logistics personnel responded as follows to a SeaFair invoice request: (i) "We won't take these invoices because we only received arrival notice with charges from you and paid to MSC directly. We also never received these extra charges from you."; (ii) "per you request, we always remit payment to MSC directly according the arrival notice you provided. And same as upon shipment, we don't recognize \$30 CPC and we won't paid this too."; (iii) "For INV# MIAD048301 (MBL# MEDUT8883315), we already paid \$80 chassis charge to MSC directly, please find attached payment email to MSC...For \$30 CPC, we don't recognize this

charge and we won't paid this."; and (iv) "It's ridiculous that Seafair never sent us invoices and threw the statement to us to collect charges. We can not take what you did on collecting these charges. You can turn this over to collection, but we also reserve our rights to reject it due to your collect procedure. (We have entire emails history to prove what happened between your Miami office and Foreman).") (See Respondents' Appendix 6 at RX-APP-06-002; RX-APP-06-003; RX-APP-06-008).

Response: Respondents did not point out when and where this document was produced in the discovery. It is impossible for SeaFair to verify what charges SeaFair was trying to collect. But Foreman Logistics Inc. did say "For Inv. MIAD047550, we take it will and will schedule payment to SeaFair soon." RX-APP-06-005. Therefore, Foreman Logistics' dispute over the invoices cannot in itself evidence SeaFair's "inconsistent billing practices." Nevertheless, SeaFair used its best efforts to collect the charges for which Respondents are liable to MSC and for which Respondent Sterling is required to collect from its customers under its terms and conditions and tariffs. The customers' refusal only evidence the need for this lawsuit.

18. R PFF 18. SeaFair's inconsistent billing practices led to confusion by consignee and forwarding agents to whom SeaFair issued bills. For example, in correspondence regarding certain SeaFair destination charge invoices issued to Global Cargo Connection in December 2021 and June 2022, Global Cargo Connection personnel stated as follows: (i) "We have never established credit with your company, why...so many unpaid invoices. Need a clear explanation before send you to our legal department." (December 2021); and (ii) "Your statement provides no container number, nor Master number....Still no improvement on your statement....Again, please provide MBL or container number on those late...invoices." (Respondents' Appendix 9 at RX-APP-09-001).

Response: Respondents did not point out when and where this document was produced in the discovery. It is impossible for SeaFair to verify what charges SeaFair was trying to collect. Global Cargo Connection was Respondents' customer not SeaFair's therefore it not having credit with SeaFair is not surprising. Global Cargo Connection's dispute over the invoices cannot in itself evidence SeaFair's "inconsistent billing practices." Nevertheless, SeaFair used its best efforts to collect the charges for which Respondents are liable to MSC and for which Respondent

Sterling is required to collect from its customers under its terms and conditions and tariffs. The customers' refusal only evidence the need for this lawsuit.

19. R PFF 19. SeaFair's inconsistent billing practices led to confusion by consignee and forwarding agents to whom SeaFair issued bills. For example, in correspondence regarding certain SeaFair destination charge invoices issued to Charles Kendall Inc. in February 2022, Charles Kendall Inc. personnel stated as follows: "There is no record on our end that this invoice was provided back in September of last year when the shipment was live. Attached is the email that we received from Seafair, as you can clearly see we were not provided with any notice on these charges at the time. Due to the late notice on these fees we will be unable to collect money from any associated party with this shipment, and will reject this invoice. As we were not involved with the trucking in any way, I would suggest reaching out to the company responsible for the trucking to see if they will cover the costs." (Respondents' Appendix 10 at RX-APP-10-005)

Response: Due to the facts known to the shipping industry, i.e., port congestion, chassis and trucker shortages, etc. due to the COVID-19 pandemic, the steamship lines' invoices usually came long after the shipment was completed. Therefore, it is not surprising that the invoice was not provided back September 2021 when the shipment was "live." If SeaFair was to hold the shipment until all charges were final, then the invoice would be astronomical. SeaFair's good faith effort in making the delivery without waiting for the final charges to be ascertained was to help every party in the supply chain to mitigate the damages. It is unconscionable for Respondents to paint it as "inconsistent billing practice." Nevertheless, SeaFair used its best efforts to collect the charges for which Respondents are liable to MSC and for which Respondent Sterling is required to collect from its customers under its terms and conditions and tariffs. The customers' refusal only evidence the need for this lawsuit.

20. R PFF 20. Despite SeaFair's internal issues regarding the termination of its employees, business practices, and internal billing procedures in 2021 and early 2022, through its course of dealing Respondents compensated SeaFair \$55 per bill of lading, described by SeaFair as a "documentation fee" or "document turnover fees." (SF-PFF 9).

Response: Respondents are obligated to pay SeaFair document turnover fees. All the remaining proposed findings of fact are untrue and irrelevant, as stated above.

21. R PFF 21. On March 1, 2022, SeaFair filed a claim under 46 C.F.R. § 515.23(b) with Sterling's bondholder, USFIC, for \$138,422.00, claiming that Atlantic and Sterling owed SeaFair \$137,632.00 and \$790.00 in attorney's fees (the "First Surety Claim"). (See Complainant's Appendix 3; SF-PFF 11).

Response: Admit.

22. R PFF 22. On March 9, 2022, Respondents made a payment of \$115,417.05 to SeaFair for certain documentation fees that were due and owing (the "March 9 Payment"). (See Respondents' Appendix 3 at RX-APP-03-014 and Respondents' Appendix 4). This payment included \$113,985.50 in certain fees, including documentation fees, owed to SeaFair, and \$1,975.00 in attorneys' fees. (See Respondents' Appendix 4).

Response: Admit.

23. R PFF 23. On March 21, 2022, Respondents replied to SeaFair's First Surety Claim with certain good-faith disputes regarding some of the invoices alleged to be due and owing in the First Surety Claim, including by referencing the March 9 Payment. (See Respondents' Appendix 3).

Response: Admit that Respondents disputed SeaFair's First Surety Claim, deny that disputes were in good-faith.

24. R PFF 24. Several of the invoices identified in the First Surety Claim were disputed by Respondents - as SeaFair sought to charge Respondents not just documentation fees, but also for certain invoices that were the responsibility of the third-party consignees on the bills of lading at issue. Respondents also believed that SeaFair included documentation fee invoice charges for shipments that had been terminated (thus, no document turnover fees would be due and owing). These disputes, including in 29 individual invoices identified in the First Claim, were initially described and discussed in a letter sent by Respondents to SeaFair on March 21, 2022

(Respondents' Appendix 3), as well as later on in correspondence sent by Respondents on May 27, 2022 (Respondents' Appendix 11) and August 22, 2022. (See Complainant's Appendix 7).

Response: Admit the correspondence attached to parties' appendices. The "certain invoices" were destination charges which Respondents and their customers are liable. Deny that SeaFair included documentation fee invoice charges for shipments that had been terminated. All document turnover fees were based on shipments in Respondents' ACOP system. The document turnover fees sought by SeaFair in the First Claim were based on concluded shipments.

25. R PFF 25. After negotiations spanning several months, Respondents offered to settle the First Surety Claim for an outstanding figure of \$8,920.00 in connection with certain SeaFair invoices for documentation fees (See Complainant's Appendix 7, SFOB-APP-07-0001-0002).

Response: Admit that Respondents offered to settle 29 invoices identified in the First Claim. SeaFair's Appendix 7 is included to provide context where the unpaid invoices (Appendix 5) were introduced to the discovery. It was not used to prove or disprove the validity or amount of a disputed claim. The Appendix itself was not used to prove or disprove the validity or amount of a disputed claim. SeaFair objects to the entire R PFF 25 as it was used to prove or disprove the validity or amount of a disputed claim. See 46 CFR § 502.204 and FRE 408.

26. R PFF 26. One reason for the lengthy negotiations is that SeaFair continued to seek duplicative payment by Respondents for invoices that had already been paid by Respondents, including in the payment made on March 9, 2022. For example, in a letter from SeaFair dated August 3, 2022, SeaFair stated that Respondents owed SeaFair \$66,083.50 in connection with outstanding invoices associated with the First Claim (See Complainant's Appendix 6 at SFOB-APP-06-0008) - however, several of these invoices had already been addressed and paid for as part of Respondents' March 9, 2022 payment, which was communicated to SeaFair in a message from Respondents on August 22, 2022 (and later confirmed by SeaFair). (See Complainant's Appendix 7, SFOB-APP-07-0001-0002) (On March 9, 2022, "Atlantic made full or partial payments for #18 (MIAD048505; \$10,395 of \$10,450); #19 (MIAD048511; \$4,950 of \$5,005); #21, (MIAD048513; \$9,625 of \$11,935); #23 (MIAD048528; \$6,545 of \$6,545), #25 (MIAD048534; \$825 of \$880), #26 (MIAD048535; \$3,950 of \$5,060); #27 (MIAD048540;

\$4,895 of \$5,005); #28 (MIAD048542; \$1,375 of \$2,145); and #29 (MIAD048544; \$385 of \$440)"); Respondents' Appendix 8 at RX-APP-08-001 – 002).

Response: Although Respondents stated that they had provided information regarding the March 9, 2022 payment, they did not. See SeaFair's Opening Brief Appendix 6 at SFOB-APP-06-0002 ("We requested that Sterling and Atlantic Forwarding identify which invoices or portions of invoices correspond to the March 9, 2022 payment. In your Second Response Letter, you stated that the information was previously provided by Sterling and Atlantic Forwarding to Pirmin Doeschner on March 21 and was attached as Exhibit 1 to your Second Response Letter. There was no Exhibit 1 to your Second Response Letter."). Respondents attached Exhibit 1 in its August 22, 2022 email. See SeaFair's Opening Brief Appendix 7 at SFOB-APP-07-0001. Therefore, the reason for lengthy negotiations is due to Respondents' lack of clear communication.

27. R PFF 27. Another example of Respondents' good-faith dispute of portions of the First Surety Claim is that SeaFair sought to bill Respondents for payments owed by liable third-party consignees, including for a payment that was in fact owed to SeaFair by a third-party consignee Century Distribution Systems, Inc. (Invoice MIAD048805 for \$3,438.50). (Complainant's Appendix 3, SFOB-APP-03-0113).

Response: The dispute could not have been made in good faith. It is clear that Respondents at all time owed these monies under MSC's tariffs, MBL terms and conditions, SeaFair's terms and conditions of service, agency law, and FMC regulations. It is also clear that Respondents' customers owe these charges to Respondents under Respondents' HBL terms and conditions, tariffs, and FMC regulations. When Respondents' customers refused to pay, SeaFair had to turn the invoices to Respondents.

28. R PFF 28. Based on the confusing invoicing practices and billing demands from SeaFair to Respondents, Respondents reached out to Century Distribution Systems, Inc. on August 17, 2022, and Century Distribution Systems, Inc. subsequently paid SeaFair. (Respondents' Appendix 5; Respondents' Appendix 8 at RX-APP-08-002 ("SeaFair USA confirms that it has received the payment of \$3,438.50 from Century Distribution Systems, Inc. and the dispute over this invoice is resolved.")).

Response: Admit that Century Distribution Systems, Inc. paid. However, as stated above, SeaFair's billing practices are not confusing, as evidenced by Respondents' many payments. Moreover, because only Respondents had privity with Century Distribution System, Inc. ("Century"), the payment by Century after Respondents' reaching out to it only confirms that it is Respondents' responsibility and ability to collect the destination charges.

29. R PFF 29. In SeaFair's August 3, 2022 letter to Respondents (Complainant's Appendix 6), SeaFair demanded an additional \$5,500 in document turnover fees from Respondents, and for the first time, asserted that Respondents were liable for \$321,533.52 to SeaFair in "destination charges" that "were paid by SeaFair on behalf of Atlantic Forwarding and/or Sterling," stating that SeaFair was "contractually entitled to reimbursement." (See Complainant's Appendix 6 at SFOB-APP-06-0009).

Response: Admit that the first formal demand regarding \$321,533.52 was made on August 3, 2022. However, informal demands were made in email exchanges contained in Exhibit 7 to SeaFair's August 3, 2022 letter. SFOB-APP-06-0044 - SFOB-APP-06-0051.

30. R PFF 30. On October 14, 2022, SeaFair filed a Second Surety Claim against Sterling with USFIC pursuant to 46 C.F.R. § 515.23(b) in the amount of \$327,033.52 (the "Second Surety Claim") (Complainant's Appendix 8), including \$5,500 in document turnover fees and \$321,533.52 in "destination charges" "paid by SeaFair on behalf of Atlantic Forwarding and/or Sterling." (See Complainant's Appendix 8 at SFOB-APP-08-0002).

Response: Admit that SeaFair filed a Second Surety Claim against Sterling with USFIC on October 14, 2022. The letter speaks for itself.

31. R PFF 31. Respondents responded to the Second Surety Claim in a letter dated November 28, 2022, wherein Respondents (i) accepted liability for the \$5,500 in document turnover fees; and (ii) rejected SeaFair's claims for \$321,533.52 that "were paid by SeaFair on behalf of Atlantic Forwarding and/or Sterling." (Respondents' Appendix 7 at RX-APP-07-001 - 002).

Response: Admit that Respondents responded to SeaFair's Second Surety Claim in a letter dated November 28, 2022. The letter speaks for itself.

32. R PFF 32. SeaFair filed its Verified Initial Complaint against Respondents on December 15, 2022, purportedly alleging various violations of the Shipping Act and seeking reparations in the sum of \$335,953.52 (plus interest and attorneys fees). (See Dkt. Doc. No. 1, SeaFair Complaint at ¶ 32).

Response: Admit that SeaFair filed its Verified Initial Complaint against Respondents on December 15, 2022. The Complaint speaks for itself.

33. R PFF 33. The large bulk of SeaFair’s current claims are focused on certain outstanding invoices issued to SeaFair by non-party MSC, seeking contractual indemnification from Respondents in connection with the unpaid invoices owed by SeaFair to MSC. (See SF-PFF 18; see generally Complainant’s Appendix 10).

Response: Deny that (1) the invoices are legally owed by SeaFair to MSC because SeaFair was not a merchant but merely a disclosed agent on MSC’s MBLs; and (2) the large bulk of SeaFair’s current claims are focused in seeking contractual indemnification from Respondents in connection with the unpaid invoices issued to SeaFair. Indeed, SeaFair’s claims are focused on practices of Respondents that violate the Shipping Act. The invoices issued by MSC are merely a symptom of Respondents’ violations. SeaFair not only seeks to have Respondents settle the MSC charges, but also to have them collect charges from their customers as mandated by their published FMC tariff.

34. R PFF 34. SeaFair did not pay \$321,533.52 to MSC (or other parties) on behalf of Atlantic Forwarding and/or Sterling as alleged in SeaFair’s Second Surety Claim (Complainant’s Appendix 8 at SFOB-APP-08-0002) and Complaint (See Dkt. Doc. No. 1, SeaFair Complaint at ¶ 15).

Response: Admit that SeaFair had not paid destination charges listed in SeaFair’s Opening Brief Appendices 9, 9.1, 9.2, 9.3, 9.4 and 9.5. Denied the rest.

35. R PFF 35. SeaFair’s Opening Brief has abandoned its claim for \$321,533.52 in reparations that it identified in its initial Complaint as having been paid as “out of pocket destination charges on behalf of Respondents.” (See Complaint at ¶ 15).

Response: Denied. SeaFair did not abandon its claim for \$321,533.52 in reparations - Respondents either need to pay SeaFair so SeaFair can remit the money to MSC or Respondents need to settle with MSC.

36. R PFF 36. Respondents made the requested payment to SeaFair for document turnover fees in the amount of \$14,420 on August 28, 2023. (Respondents' Appendix 12 at RX-APP-12-001).

Response: admit that Respondents made such a payment. However, SeaFair notes that the sum was provided without the interest and attorney's fees that SeaFair is rightfully due. SeaFair also calls attention to the fact that the payment was made on the same date as Respondents' Opposition Brief and is used to fuel a legal argument therein. Therefore, SeaFair believes the payment was made in bad faith.

III. INTRODUCTION

SeaFair USA, LLC ("Complainant" or "SeaFair") files this reply to the Opposition Brief ("Opposition") filed by Respondents Sterling Container Line Limited and Atlantic Forwarding, Ltd. ("Respondents"). In their Opposition, dated August 28, 2023, Respondents have attempted to undermine the claims of Complainant SeaFair by mischaracterizing facts, statements made by SeaFair, and the applicable laws. Respondents make the following assertions, which feature multiple times through their Opposition:

- 1) SeaFair was responsible under its agreement with Respondents for collecting destination charges (See e.g. Opposition Opposition, Dkt. Doc. No. 25 at p. 14);
- 2) SeaFair admitted to being so responsible (See e.g. Opposition, Dkt. Doc. No. 25 at p. 15, 21); 3) SeaFair was the actual consignee on the Master Bills of Lading ("MBL's") partially at issue in this matter (See e.g. Opposition, Dkt. Doc. No. 25 at p. 16);
- 4) SeaFair's claims are inherently breach of contract claims, not Shipping Act claims (See e.g. Opposition, Dkt. Doc. No. 25 at p. 1, 3, 16-17);

- 5) Respondents were ready and willing to “assist” SeaFair, if only it would have asked (See e.g. Opposition, Dkt. Doc. No. 25 at p. 16, 34);
- 6) Respondents, by virtue of paying \$14,420 to SeaFair on the same day as submitting their Opposition, have extinguished any justiciable claim made by SeaFair (See e.g. Opposition, Dkt. Doc. No. 25 at p. 2); and
- 7) SeaFair has abandoned its claim to damages. (See e.g. Opposition, Dkt. Doc. No. 25 at p. 30-34).

Each of Respondents’ above claims is wholly without merit and should therefore be disregarded by the Commission. Focusing only on the evidence contained in the Opening Brief of SeaFair USA, LLC (“Opening Brief”), it can be seen that each of Respondents’ claims are demonstrably false. Instead, the evidence shows that 1) Respondents were ultimately responsible for the destination charges, as outlined in SeaFair’s Terms and Conditions of Service; 2) at no point in the record did SeaFair admit responsibility for collecting destination charges; 3) SeaFair was at all times a agent of Respondents for purposes of the MBLs even though it was sometimes listed as the consignee; 4) the Commission can provide remedies in this matter that go beyond a simple breach of contract claim; 5) Respondents’ unwillingness to collect destination charges from its clients is the keystone of this issue; 6) Respondents untimely payment of document turnover fees amounts to mere theatrics, and is not relevant; and 7) SeaFair’s claims are not abandoned because the charges by MSC, which are rightfully the responsibility of Respondents, remain on SeaFair’s account with MSC until they are paid or settled by Respondents.

IV. ARGUMENT

A. SeaFair Did Not Admit Responsibility For Collecting Destination Charges

Respondents begin the second paragraph of their first argument with a blatant falsehood:

SeaFair readily admits that under the agreement between SeaFair and the Respondents, SeaFair was responsible for collecting certain destination charges from the consignees on the Sterling HBLs and MSC MBLs to remit the money collected to MSC.

(Opposition, Dkt. Doc. 25, p. 15)

Respondents rely on SF-PFF 10, SeaFair's Opening Brief, p. 15, and Opening Brief Appendix 19 to support such a statement. However, even a cursory examination of these documents will contradict this.

SF-PFF 10 reads, in its entirety:

For destination services, pursuant to the agreement between Respondents and SeaFair, SeaFair collected and/or attempted to collect payment for the charges related to steamship lines, associated terminals, and other logistics companies on behalf of Sterling and its shipping agent, Atlantic, plus the bank fees SeaFair incurred in remitting the collected charges to the steamship lines, terminals and/or logistics companies (which are termed "Carrier Processing Charge/Fee" or "CPC")

(Opening Brief, Dkt. Doc. 24, p. 3-4)

Critically, SeaFair's Terms and Conditions of Service read, in relevant part:

*[SeaFair] shall use reasonable care regarding written instructions related to "Cash/Collect" on "Deliver (COD.)" shipments, bank drafts, cashier's and/or certified checks, letter(s) of credit and other similar payment documents and/or instructions regarding collection of monies **but shall have not liability if the bank or consignee refuses to pay for the shipment.***

(Opening Brief, Dkt. Doc. 24 p. 10 (Emphasis Added))

When read in conjunction with SF-PFF 42, SF-PFF 10 is not at all an admission of ultimate responsibility, but rather a factual description of what occurred. SeaFair used "reasonable care" in collecting charges, but disclaimed any liability in the event of nonpayment. SeaFair made attempts to collect the destination charges, but was not successful. In accordance with its Terms and Conditions, then, it invoiced Respondents for the charges. The mere fact that SeaFair attempted to collect the charges is certainly not an admission of ultimate responsibility. As a matter of fact, the Terms and Conditions expressly disclaim liability in the event that collection

efforts were not successful. Therefore, Respondent's citation to SF-PFF 10 is a mischaracterization, and the argument it supports should be dismissed.

Respondent's citations to SeaFair's Opening Brief, p. 15, and Opening Brief Appendix 19 are deficient for an identical reason. Opening Brief, p. 15 simply restates SF-PFF 10 by describing SeaFair's collection efforts. Opening Brief Appendix 19 merely contains the invoices generated by SeaFair which it sent to Respondents' clients during its collection efforts. These documents demonstrate that SeaFair attempted collection as mentioned in its Terms and Conditions, not that SeaFair admitted to responsibility. Such liability is unequivocally disclaimed by the Terms and Conditions.

Consequently, Respondents cannot support their assertion that SeaFair admitted responsibility. Their conclusion simply dissipates when consulting the documents cited. SeaFair has always maintained that Respondents bear the ultimate responsibility of collecting destination charges from their clients. SeaFair's duty is to exercise "reasonable care" in collection efforts, with no liability should payment be refused. Therefore, the responsibility for collecting such charges ultimately belongs to Respondents. The disregard of this ultimate responsibility to collect from clients renders Respondents in violation of the Shipping Act.

B. SeaFair Is Not Responsible For The Charges of MSC

Respondents next try to argue that SeaFair is responsible for the MSC charges because SeaFair should be included under the definition of "Merchant" on MSC's bills of lading. (Opposition, p. 15-16). Specifically, they argue that SeaFair was the true consignee on the MBL's, not acting as their agent. (*Id.*) In support of this, they point out that Appendix 12 contains only two instances where the Consignee is listed as "SeaFair USA LLC as Agent of Sterling Container Line Limited." (*Id.*)

A simple glance at the Appendix List on page iii of SeaFair's Opening Brief will reveal that Appendix 12 is labeled as "Selection of MSC MBLs." This is because Appendix 12 does not contain the full list of MBLs on record, but rather a random sample of them. Given that the selection in Appendix 12 alone is 381 pages long, SeaFair thought it better to select a few to present as evidence. Notably, Respondents have staunchly refused to produce the MBLs listed in SeaFair's Exhibit 2 to its Request for Admission. [citation]. They produced a handful of MBLs after SeaFair moved to compel production. The MBLs produced by Respondents (attached as Appendix 1 to this Reply) invariably listed "SeaFair USA LLC as Agent of Sterling Container Line Limited." That being said, identification as an agent of Sterling by MSC is really only a recognition of a factual situation: namely that SeaFair was indeed acting as an agent on behalf of Respondents.

MSC recognition, or lack thereof, of SeaFair's agency does not change the facts of the situation. For the majority of the MBLs, SeaFair's agency was disclosed to MSC, therefore, MSC is barred from collecting from SeaFair. For a small amount of MBLs, SeaFair's agency was not indicated on the MBLs but was surely disclosed to MSC during the course of dealings, therefore, MSC is again barred from collecting from SeaFair. Even if SeaFair's agency was not disclosed to MSC for a small portion of MBLs, Respondents are ultimately liable pursuant to SeaFair's terms and conditions of service.

Respondents have not argued that the terms of the agreement differed depending on whether the MBL recognized SeaFair's agency. Similarly, Respondents have not argued that SeaFair's services on behalf of Respondents differed depending on whether the MBL recognized SeaFair's agency. Rather, SeaFair's performed services for Respondents at all relevant times as

their agent. (See Opening Brief, Appendix 13 (SeaFair is listed as “Destination Agent” on Respondent HBL’s)).

Therefore, as argued in SeaFair’s Opening Brief, Respondents are responsible for the MSC charges, not SeaFair: Sterling was the true consignees on the MBLs. SeaFair was merely an agent on behalf of Respondents, which is reflected on most of the MBLs and through the course of dealings. Respondents’ reference to Appendix 12 ignores the reality of SeaFair’s services on behalf of Respondents and should therefore be disregarded.

C. SeaFair Has Sufficiently Alleged Shipping Act Violations

1. SeaFair Has Pled Claims With Elements Unique To The Shipping Act

Respondents accuse SeaFair of attempting to dress a breach of contract claim as a Shipping Act violation. In reality it is Respondents that are trying to discredit a valid Shipping Act claim by both unilaterally labeling it a breach of contract claim, and misstating the law. SeaFair concedes that the Commission does not have the authority to decide breach of contract claims. (See generally Cargo One, Inc. v. Cosco Container Lines Company, Ltd., 2000 WL 1648961, 28 S.R.R. 1635 (F.M.C. 2000)). That being said, Respondents have neglected to include essential context and reasoning when quoting Cargo One. The quote excerpted on pages 20 and 21 of the Opposition Brief reads, in its entirety:

*For section 8(c) to have meaning, it must have been intended to preclude the filing of some complaints of Shipping Act violations, and not just breach of contract claims, as such claims would not be actionable before the Commission in any event. Thus, it is “reasonable to construe [s]ection 8(c) to apply to actions alleging a violation of the 1984 [Shipping] Act.” Vinmar at 424. However, we find it inappropriate and contrary to the intent of the statute that section 8(c) bar any Shipping Act claim which bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action. We believe the more appropriate test is whether a complainant’s allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. We find that **as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no***

more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

(Cargo One, 2000 WL 1648961 at 14. (Emphasis added to demonstrate the excerpt quoted by Respondents)).

Respondents have neglected to explain how Cargo One represents a significant change from prior FMC precedent. In Cargo One the Commission said: “The Commission has reconsidered its decision in Vinmar and is herein articulating a more precise and less expansive view of which causes of action seeking reparations are precluded by section 8(c).” (Id. at 13). For this reason, the Commission developed the above test which, when quoted in its entirety, contradicts the assertion of Respondents. The Commission wholly rejects the assertion that a claim for a Shipping Act violation “which bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action,” must be dismissed. (Id. at 14). Rather, the Commission decided: “the more appropriate test is whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act.” Therefore, the cases relied on by Respondents, such as Western Overseas Trade and Dev. Corp. v. ANERA, are not in accord with the applicable rules, because they pre-date the reconsideration in Cargo One.

Respondents are correct in pointing out that the Commission did dismiss some claims in Cargo One as being essentially breach of contract claims. (Id. at 15). However the Commission did so because, using the above test, the complaint failed to provide evidence that “some extraordinary aspects of the allegation distinguish it substantially from a breach claim.” (Id.). Respondents also do not mention that four other claims in Cargo One, which involved “unfair or unjustly discriminatory practices, undue or unreasonable preferences, undue or unreasonable

prejudice or disadvantage, and just and reasonable regulations and practices,” were deemed by the Commission to be “inherently related to Shipping Act prohibitions and are therefore appropriately brought before the Commission.” (Id.).

As it can be seen, the test is binary analysis, not a balancing test. Complaints that sufficiently plead a claim that involves elements particular to the Shipping Act are appropriate before the Commission. Complaints that do not plead such elements are not. The similarity between a Shipping Act claim and a breach claim is immaterial so long as the claim sufficiently pleads elements particular to the Shipping Act.

Here, SeaFair has pled claims involving elements particular to the Shipping Act. Respondents attempt to defeat this by imploring the Commission to see similarities with breach of contract claims. (See e.g. Opposition Brief at 23, 24 (“SeaFair is seeking contractual indemnification for certain invoices that have been issued to it by non-party MSC.”) (“SeaFair’s remaining claims boil down to a contract dispute regarding ultimate liability and responsibility for the non-party MSC invoices issued to SeaFair...”)). However, using the appropriate test, this line of argumentation is less than persuasive. As will be discussed below, each of SeaFair’s Shipping Act Claims sufficiently plead elements that are unique to the Shipping Act as opposed to breach of contract. Therefore, under the Cargo One test, they are appropriately before this Commission.

2. 46 U.S.C. § 41104(a)(4)(A)

The Opening Brief at page 18 reads:

By not settling the MSC charges and not billing its customers for corresponding charges, Sterling and Atlantic have provided services to their non-paying customers at rates or charges lower than to customers who did pay destination charges. Sterling and Atlantic’s non-collection of destination charges is therefore unfair and unjustly discriminatory.

Additionally, SeaFair has argued that: 1) these charges were due from Respondents' customers pursuant to Sterling's tariff 2) collection of charges was ultimately the responsibility of Respondents, 3) Respondents did not do so. SeaFair supported these assertions by providing the relevant portions of SeaFair's Terms and Conditions of Service (Opening Brief at 14) which Respondents admit to being provided with. (See Respondents' Response to Complainant's Proposed Findings of Fact at para. 40-42). These terms specifically impose the ultimate responsibility for collection on Respondents. Respondents, by arguing that they are not responsible for them, agree that they have refused to collect the charges that are at issue here. (See Id. at para. 44 ("Accordingly, Respondents have not billed or collected from the shippers or consignees identified on the house bills of lading, because that is precisely one of the destination agent services for which it engaged SeaFair in the first place.")). Additionally, Respondents repeatedly admit that they have collected charges from some of their clients, after pressure by SeaFair. (See R PFF 28 ("Respondents reached out to Century Distribution Systems, Inc. on August 17, 2022, and Century Distribution Systems, Inc. subsequently paid SeaFair.")).

These practices are unjust and discriminatory for two reasons: 1) Respondents are unjustly benefiting some customers at the expense of their agent, SeaFair, and 2) Respondents have unjustly collected charges from some customers, but not others. These practices are not only unjust and discriminatory, they are also inconsistent with Respondents' tariff as quoted in SF PFF 34.

First, Respondents are discriminating against SeaFair: Respondents' customers have refused to pay SeaFair, Respondents admit to having the authority to compel payment, and Respondents have refused to do so. (See e.g. Opposition, p. 16, 34 ("If SeaFair was having trouble collecting destination charges from the third-party consignees on Sterling's HBLs that

were liable, it could have requested assistance from the Respondents.”) (“If SeaFair simply sought Respondents’ assistance with other claims against liable third-party consignees instead of filing surety claims and a formal FMC complaint against Respondents, it certainly could have mitigated the damages that are being claimed in the instant action.”)). SeaFair, pursuant to its Terms and Conditions, sent the invoices in Opening Brief, Appendix 20 to Respondents to address nonpayment by the consignees. Respondents, rather than taking action to settle these invoices with the consignees, did nothing. As a result, Respondents have shielded themselves and their customers from liability for the charges at SeaFair’s expense.

Second, Respondents are discriminating against paying clients like Century Distribution Systems, Inc (“Century”). The destination charges at issue are expressly contemplated by Respondents’ tariff. (See SF PFF 34). Respondents readily admit to contacting Century after receiving an invoice from SeaFair. (See, Opposition, p. 11). After this interaction, Century paid the charges to SeaFair. (Id.). However, Respondents have not done the same in the case of their other clients. Therefore, Respondents have collected destination charges from some clients, but not others. This practice is blatantly discriminatory, and Respondents have not offered any justification why they would collect from some clients, and not others.

Based on this evidence, Respondents have engaged in unjust and discriminatory practices, which are inconsistent with their tariff. Respondents have not only collected fees from some customers and not others, but also have shifted the burden of charges to SeaFair, that are rightfully due from Respondents’ customers pursuant to Respondents’ tariff. For these reasons, SeaFair properly pleads a Shipping Act Violation. Using the Cargo One standard, unjust and discriminatory practices are particular to Shipping Act violations as opposed to contract claims.

Therefore, regardless of alleged similarity to a contract claim, this claim is appropriate before the Commission.

3. 46 U.S.C. § 41104(a)(2)(A)

Based on similar evidence, Respondents have not provided services in accord with their published tariff. SF PFF 34 quotes directly from the published tariff, which indicates that “...all shipments will be subject to the origin and destination terminal charges...” and “...provisions as published by the VOCC in its FMC tariff, including detention charges, will be for the account of the cargo.” Respondents have admitted to not collecting these charges. (See Respondents' Response to Complainant's Proposed Findings of Fact at para. 44).

This claim is inherently a Shipping Act claim because it is predicated on Respondents' obligation to comply with the published tariff. Respondents must charge their clients in accordance with the tariff, and failure to do so is a violation. Respondents have failed to collect charges from their clients that are due under the tariff. This obligation is not created by contract, but by 46 U.S.C. § 41104(a)(2)(A), making it peculiar to the Shipping Act. Respondents may try to argue away this statutory obligation using contract law, but this overlap is not sufficient to render this claim a simple contract claim. Using the Cargo One standard, this claim is properly before the Commission because it is reliant on compliance with the published tariff.

4. 46 U.S.C. § 41102(a)

Respondents ask this Commission to believe that they did not knowingly, in bad faith, or through deceit, receive the benefits of ocean transportation for less than applicable rates and charges. As to the first element, Sterling's published FMC tariff is evidence of knowledge that these rates and charges existed: such charges are specifically contemplated by the text of the tariff. (See SF PFF 34. (“...all shipments will be subject to the origin and destination terminal

charges...”) and (“...provisions as published by the VOCC in its FMC tariff, including detention charges, will be for the account of the cargo.”)). The scheme of the tariff is constructed so that Respondents’ clients will pay Respondents, who will then pay the VOCC. Therefore, Respondents knew that they would be obliged to pay charges to the VOCC as part of obtaining ocean transport. By refusing to pay the VOCC, Respondents have received the benefits of ocean transport without paying all applicable charges. Rather, they intend to shift the burden onto SeaFair.

This knowing refusal to pay applicable charges is unjust and unfair: it is made in bad faith. The refusal is premised on Respondents’ incredulous assertion that SeaFair is bound to pay MSC because it is listed as the consignee on MSC’s MBLs. While it is true that SeaFair was listed as “consignee” on a few MBLs, these lablings are counterfactual. At all times during the duration of SeaFair’s services, SeaFair operated as an agent on behalf of Respondents. (See SF PFF 42 (“[SeaFair] acts as the “agent” of the Customer for the purpose of performing duties in connection with the entry and release of goods, post entry services, the securing of export licenses, the filing of export documentation on behalf of the Customer and other dealings with Government Agencies...”)). This fact is also noted on many of the MSC bills of lading. Respondents are well aware that SeaFair was not the actual consignee on those bills of lading: SeaFair had no interest in the goods, it was merely serving as an agent for Respondents. Nonetheless, respondents rely on this counterfactual assertion in order to evade charges that they, as the principal, are rightly liable for.

Based on this evidence, Respondents’ refusal is made in bad faith. Respondents, by virtue of accepting SeaFair’s Terms and Conditions of Service, knew that SeaFair was acting as their agent. SeaFair had no interest in the goods; it was merely serving as a destination agent for

Respondents. The ocean transport provided by MSC was not for the benefit of SeaFair, but for Respondents and their clients. Nonetheless, Respondents took advantage of the situation by refusing to indemnify SeaFair when Respondents' clients refused to remit the funds necessary to pay MSC.

The final element is obtaining or attempting to obtain ocean transport for less than applicable charges and rates. Respondents do not dispute the existence of this element. However, SeaFair reiterates that because of Respondents' refusal to pay, they are attempting to obtain ocean freight for less than applicable rates. Respondents knew that these charges would be assessed by the VOCC, as demonstrated by the published tariff. (See SF PFF 34). In contravention to the published tariff, they refused to collect the charges from clients and have instead thrust them on SeaFair. As a result, Respondents stand to receive the benefit of ocean transportation without payment of the requisite charges. This attempt is in bad faith as it is in contravention to the facts and SeaFair's Terms and Conditions of Service. Therefore, Respondents have violated 46 U.S.C. § 41102(a).

5. 46 U.S.C. § 41102(c)

Here, Respondents attack SeaFair's claim while ignoring the evidence provided in support. Respondents' first argument is that they never refused to pay SeaFair, their second is that their refusals were not consistent. Interestingly, Respondents never address SeaFair's argument that refusal to collect from their clients also contributes to a violation of this provision.

As a threshold matter, Respondents have refused to both pay SeaFair and collect from their clients. Respondents attempt to use polite terms like "good faith dispute" to conceal their ultimate nonpayment. (See Opposition, p. 20, 27, 30). With notable exceptions such as document turnover fees paid, conveniently, on the same date as the Opposition Brief, SeaFair has not

received payment for the majority of invoices contained in Appendix 20 of the Opening Brief. These invoices are consolidated from those contained in Opening Brief Appendix 19, which Respondents' clients refused to pay. After the clients refused to pay, SeaFair attempted for a time to informally collect payment from Respondents pursuant to SeaFair's Terms and Conditions. (See generally SeaFair's Initial Discovery Production). Respondents readily admit that on one occasion only, Respondents stepped in to secure payment from one of their clients. (See R PFF 28 ("Respondents reached out to Century Distribution Systems, Inc. on August 17, 2022, and Century Distribution Systems, Inc. subsequently paid SeaFair.")). Besides this single instance, Respondents have both declined to pay, and declined to collect from their clients.

Respondents' practice of refusing to pay and collect charges due was consistent throughout the entire course of dealing. (See generally SeaFair's Initial Discovery Production). The invoices in Appendix 19 of the Opening Brief contain invoices, spanning several months, which were not paid by Respondents' clients. SeaFair consolidated these invoices into those seen in Appendix 20 of the Opening Brief, which have gone unpaid. In addition, SeaFair was forced to take action at two separate instances in the past to secure payment from Respondents: the First and Second Surety Claims were made necessary by Respondents' constant stalling of payment. Finally, it was not until the date of Respondents' Opposition Brief, August 28, 2023 that the demanded document turnover fees were paid, which Respondents immediately weaponized for a legal argument. (See Opposition Brief at 30-30 ("SeaFair's Only Non-Abandoned Injury Claim is Moot... Respondents made a good faith payment of \$14,420 for the entire set of requested document turnover fees to SeaFair on August 28, 2023. However, the effectuation of this payment was in no way tied to perceived Shipping Act violations..."))).

It can be seen from the evidence on record that Respondents' unreasonable conduct has been customary throughout their course of dealing with SeaFair. Respondents' defenses attempt to distort what is a long term practice of refusing to pay charges rightfully invoiced. As the other elements of the claim have not been disputed by Respondents, SeaFair should prevail on this matter.

V. CONCLUSION AND REMEDIES

As has been demonstrated here, Respondents' arguments are meritless. First, SeaFair appropriately states multiple claims that bear elements unique to the Shipping Act. As a result, they are distinct from breach of contract claims and are appropriately before the Commission. Second, SeaFair has properly alleged all necessary elements of its Shipping Act claims: Respondents, by refusing to collect from their clients and refusing to pay the ocean carrier, are actively engaging in practices that are unjust, unreasonable, discriminatory, and enable Respondents to avoid paying applicable charges. Third, the charges invoiced by MSC remain due. In addition, SeaFair has suffered the following damages as a result of Respondents' actions: interest and legal fees, including those for document turnover fees up until August 28, 2023, the date of the Opposition Brief.

Therefore, SeaFair respectfully requests the ALJ to: (1) issue an order compelling Respondents to cease and desist from their unjust and unreasonable practices in violation of 46 U.S.C. §41102(c), 46 U.S.C. §41104(a)(4)(A), 46 U.S.C. §41104(a)(2)(A) and 46 C.F.R. §545.4; (2) assess a civil penalty of not less than \$25,000 pursuant to 46 U.S.C. § 41107; (3) order Sterling and Atlantic to cease and desist from violating 46 U.S.C. §41102(c), 46 U.S.C. §41104(a)(4)(A), 46 U.S.C. §41104(a)(2)(A); (4) order Respondents to pay the applicable charges either directly to MSC or by paying SeaFair; (5) order Respondents to pay to SeaFair

reparations for the unlawful conduct described above in interest and attorney's fees incurred in correcting the invoices subject to the first claim and second claim, as provided for under 46 U.S.C. § 41305(b).

Dated: September 12, 2023

Respectfully submitted,
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 12th day of September 2023, the foregoing Brief was served via electronic mail on:

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Presiding Administrative Law Judge
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